

2-3 Posting Journal Entries to Accounts

As illustrated, a transaction is first recorded in a journal. Periodically, the journal entries are transferred to the accounts in the ledger. The process of transferring the debits and credits from the journal entries to the accounts is called

Objective 3 - Describe and illustrate the journalizing and posting of transactions to accounts.

posting (The process of transferring the debits and credits from the journal entries to the accounts.)

The December 20Y3 transactions of **NetSolutions** are used to illustrate posting from the journal to the ledger. By using the December transactions, an additional review of analyzing and journalizing transactions is provided.

Transaction

Dec. 1 NetSolutions paid a premium of \$2,400 for an insurance policy for liability, theft, and fire. The policy covers a one-year period.

Analysis

Advance payments of expenses, such as for insurance premiums, are assets called **prepaid expenses**. For NetSolutions, the asset purchased is insurance protection for 12 months. This transaction is recorded as a \$2,400 increase (debit) to Prepaid Insurance and a \$2,400 decrease (credit) to Cash.

Journal Entry

Dec. 1	Prepaid Insurance	15	2,400	
	Cash	11		2,400
	Paid premium on one-year policy.			

Accounting Equation Impact

Assets		=	Liabilities	+	Stockholders' Equity
Cash	11				
Dec. 1	2,400				
Prepaid Insurance	15				
Dec. 1	2,400				

Although T accounts are useful for illustrating the recording and posting of transactions, more formal, multi-column accounts are used in practice. For example, a **four-column account** (A form of account that has Debit and Credit columns for recording transactions as well as Balance (Debit and Credit) columns for indicating the account balance after each transaction.)

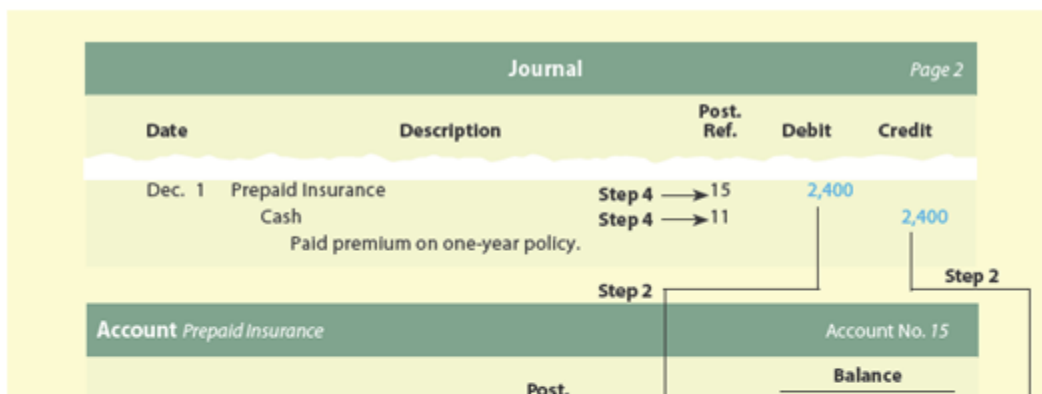
has Date, Item, and Posting Reference (Post. Ref.) columns as well as Debit and Credit columns for posting transactions. In addition, the four-column account has Balance (Debit and Credit) columns for indicating the current balance of the account, sometimes called a *running balance*.

In practice, accounts may take a variety of formats other than the four-column account and may include additional data useful in managing the business. However, to simplify, the four-column account is used in the remainder of this chapter.

The posting of the preceding December 1 transaction to four-column accounts is shown in Exhibit 5.

Exhibit 5

Diagram of the Recording and Posting of a Debit and a Credit



	Date	Item	Ref.	Debit	Credit	Debit	Credit	
Step 1 →	2013 Dec. 1		2	2,400		2,400		Step 5
			Step 3					
Account Cash								Account No. 11
	Date	Item	Post. Ref.	Debit	Credit	Balance		
						Debit	Credit	
	2013 Nov. 1		1	25,000		25,000		
	30		2		2,000	5,900		
Step 1 →	Dec. 1		2		2,400	3,500		Step 5
			Step 3					

The debits and credits for each journal entry are posted to the accounts in the order in which they occur in the journal. To illustrate, the debit portion of the December 1 journal entry is posted to the prepaid account in [Exhibit 5](#) using the following five steps:

Step 1.

The date (Dec. 1) of the journal entry is entered in the Date column of Prepaid Insurance.

Step 2.

The amount (2,400) is entered into the Debit column of Prepaid Insurance.

Step 3.

The journal page number (2) is entered in the Posting Reference (Post. Ref.) column of Prepaid Insurance.

Step 4.

The account number (15) is entered in the Posting Reference (Post. Ref.) column in the journal.

Step 5.

The account balance (2,400) is entered in the Balance/Debit column of Prepaid Insurance.

As shown in [Exhibit 5](#), the credit portion of the December 1 journal entry is posted to the cash account in a similar manner.

The remaining December transactions for [NetSolutions](#) are analyzed and journalized in the following paragraphs. These transactions are posted to the ledger later in this chapter. To

simplify, some of the December transactions are stated in summary form. For example, cash received for services is normally recorded on a daily basis. However, only summary totals are recorded at the middle and end of the month for NetSolutions.

Transaction

Dec. 1 NetSolutions paid rent for December, \$800. The company from which NetSolutions is renting its office space now requires the payment of rent on the first of each month, rather than at the end of the month.

Analysis

The advance payment of rent is an asset, much like the advance payment of the insurance premium in the preceding transaction. However, unlike the insurance premium, this prepaid rent will expire in one month. When an asset is purchased with the expectation that it will be used up in a short period of time, such as a month, it is normal to debit an expense account initially. This avoids having to transfer the balance from an asset account (Prepaid Rent) to an expense account (Rent Expense) at the end of the month. Thus, this transaction is recorded as an \$800 increase (debit) to Rent Expense and an \$800 decrease (credit) to Cash.

Journal Entry

Dec. 1	Rent Expense	53	800
	Cash	11	800
	Paid rent for December.		

Accounting Equation Impact

Assets		=	Liabilities	+	Stockholders' Equity (Expense)	
Cash	11				Rent Expense	53
	Dec. 1 800				Dec. 1 800	

Transaction

Dec. 1 NetSolutions received an offer from a local retailer to rent the land purchased on November 5. The retailer plans to use the land as a parking lot for its

employees and customers. NetSolutions agreed to rent the land to the retailer for three months, with the rent payable in advance. NetSolutions received \$360 for three months' rent beginning December 1.

Analysis

By agreeing to rent the land and accepting the \$360, NetSolutions has incurred an obligation (liability) to the retailer. This obligation is to make the land available for use for three months and not to interfere with its use. The liability created by receiving the cash in advance of providing the service is called **unearned revenue** ([The liability created by receiving revenue in advance.](#)) . As time passes, the unearned rent liability will decrease and will become revenue. Thus, this transaction is recorded as a \$360 increase (debit) to Cash and a \$360 increase (credit) to Unearned Rent.

Journal Entry

Dec. 1	Cash	11	360
	Unearned Rent	23	360
Received advance payment for three months' rent on land.			

Accounting Equation Impact

Assets		=	Liabilities		+	Stockholders' Equity
Cash	11		Unearned Rent	23		
Dec. 1	360			Dec. 1		360

Link to Apple

In a recent balance sheet, **Apple** reported over \$8 billion in unearned revenue, sometimes called *deferred revenue*.

Transaction

Dec. 4 NetSolutions purchased office equipment on account from Executive Supply Co. for \$1,800.

Analysis

The asset (Office Equipment) and liability accounts (Accounts Payable) increase. This transaction is recorded as an \$1,800 increase (debit) to Office Equipment and an \$1,800 increase (credit) to Accounts Payable.

Journal Entry

Dec. 4	Office Equipment	18	1,800
	Accounts Payable	21	1,800
	Purchased office equipment on account.		

Accounting Equation Impact

Assets		=	Liabilities		+	Stockholders' Equity
Office Equipment	18		Accounts Payable	21		
Dec. 4	1,800			Dec. 4	1,800	

Link to Apple

In a recent balance sheet, [Apple](#) reported equipment, buildings, and land of over \$37 billion.

Transaction

Dec. 6 NetSolutions paid \$180 for a newspaper advertisement.

Analysis

An expense increases, and an asset (Cash) decreases. Expense items that are expected to be minor in amount are normally included as part of the miscellaneous

expense. This transaction is recorded as a \$180 increase (debit) to Miscellaneous Expense and a \$180 decrease (credit) to Cash.

Journal Entry

Dec. 6	Miscellaneous Expense	59	180
	Cash	11	180
Paid for newspaper advertisement.			

Accounting Equation Impact

Assets		=	Liabilities	+	Stockholders' Equity (Expense)
Cash	11				Miscellaneous Exp. 59
	Dec. 6 180				Dec. 6 180

Business Insight

Computerized Accounting Systems

Computerized accounting systems like QuickBooks, NetSuite, and Sage Intacct are widely used by even the smallest companies. These systems simplify the journalizing process and eliminate the need for manual posting. For example, in a computerized accounting system, when a customer payment is processed, the date, customer name, and payment amount are entered in the "Receive Payment" window. The entered data are automatically journalized and posted to the ledger accounts.

Transaction

Dec. NetSolutions paid creditors \$400.
11

Analysis

A liability (Accounts Payable) and an asset (Cash) decrease. This transaction is recorded as a \$400 decrease (debit) to Accounts Payable and a \$400 decrease

(credit) to Cash.

Journal Entry

Dec. 11	Accounts Payable	21	400
	Cash	11	400

Paid creditors on account.

Accounting Equation Impact

Assets			=	Liabilities			+	Stockholders' Equity		
Cash				Accounts Payable						
	11				21					
Dec. 11	400			Dec. 11	400					

Transaction

Dec. 13 NetSolutions paid a receptionist and a part-time assistant \$950 for two weeks' wages.

Analysis

This transaction is similar to the December 6 transaction, where an expense account is increased and Cash is decreased. This transaction is recorded as a \$950 increase (debit) to Wages Expense and a \$950 decrease (credit) to Cash.

Journal Entry

Date	Description	Post. Ref.	Debit	Credit
20Y3				
Dec. 13	Wages Expense	51	950	
	Cash	11		950
	Paid two weeks' wages.			

Accounting Equation Impact

Assets		=	Liabilities	+	Stockholders' Equity (Expense)	
Cash	11				Wages Expense	51
Dec. 13	950				Dec. 13	950

Transaction

Dec. 16 NetSolutions received \$3,100 from fees earned for the first half of December.

Analysis

An asset account (Cash) and a revenue account (Fees Earned) increase. This transaction is recorded as a \$3,100 increase (debit) to Cash and a \$3,100 increase (credit) to Fees Earned.

Journal Entry

Dec. 16	Cash	11	3,100	
	Fees Earned	41		3,100
	Received fees from customers.			

Accounting Equation Impact

Assets		=	Liabilities	+	Stockholders' Equity (Revenue)	
Cash	11				Fees Earned	41

DATE	DEBIT	CREDIT
Dec. 16	3,100	

DATE	DEBIT	CREDIT
		Dec. 16 3,100

Transaction

Dec. 16 Fees earned on account totaled \$1,750 for the first half of December.

Analysis

When a business agrees that a customer may pay for services provided at a later date, an **account receivable** is created. An account receivable is a claim against the customer. An account receivable is an asset, and the revenue is earned even though no cash has been received. Thus, this transaction is recorded as a \$1,750 increase (debit) to Accounts Receivable and a \$1,750 increase (credit) to Fees Earned.

Journal Entry

Dec. 16	Accounts Receivable	12	1,750	
	Fees Earned	41		1,750

Fees earned on account.

Accounting Equation Impact

Assets		=	Liabilities	+	Stockholders' Equity (Revenue)	
Accounts Receivable 12					Fees Earned 41	
Dec. 16	1,750					Dec. 16 1,750

Transaction

Dec. 20 NetSolutions paid \$900 to Executive Supply Co. on the \$1,800 debt owed from the December 4 transaction.

Analysis

This is similar to the transaction of December 11. This transaction is recorded as a \$900 decrease (debit) to Accounts Payable and a \$900 decrease (credit) to Cash.

Journal Entry

Dec. 20	Accounts Payable	21	900	
	Cash	11		900
Paid creditors on account.				

Accounting Equation Impact

Assets			=	Liabilities			+	Stockholders' Equity
Cash	11			Accounts Payable	21			
Dec. 20	900			Dec. 20	900			

Link to Apple

On a recent balance sheet, [Apple](#) reported \$46 billion in accounts payable.

Transaction

Dec. 21 NetSolutions received \$650 from customers in payment of their accounts.

Analysis

When customers pay amounts owed for services they have previously received, one asset increases and another asset decreases. This transaction is recorded as a \$650 increase (debit) to Cash and a \$650 decrease (credit) to Accounts Receivable.

Journal Entry

Dec. 21	Cash	11	650	
	Accounts Receivable	12		650

Accounting Equation Impact

Transaction

Dec. 27 NetSolutions paid the receptionist and the part-time assistant \$1,200 for two weeks' wages.

Analysis

This transaction is similar to the transaction of December 13. This transaction is recorded as a \$1,200 increase (debit) to Wages Expense and a \$1,200 decrease (credit) to Cash.

Journal Entry

Dec. 27	Wages Expense	51	1,200
	Cash	11	1,200
Paid two weeks' wages.			

Accounting Equation Impact

Assets		=	Liabilities	+	Stockholders' Equity (Expense)	
Cash	11				Wages Expense	51
Dec. 27	1,200				Dec. 27	1,200

Transaction

Dec. 31 NetSolutions paid its \$310 telephone bill for the month.

Analysis

This is similar to the transaction of December 6. This transaction is recorded as a \$310 increase (debit) to Utilities Expense and a \$310 decrease (credit) to Cash.

Journal Entry

Dec. 31	Utilities Expense	54	310
	Cash	11	310
	Paid telephone bill.		

Accounting Equation Impact

Assets		=	Liabilities	+	Stockholders' Equity (Expense)	
Cash	11				Utilities Expense	54
Dec. 31	310				Dec. 31	310

Transaction

Dec. 31 NetSolutions paid its \$225 electric bill for the month.

Analysis

This is similar to the preceding transaction. This transaction is recorded as a \$225 increase (debit) to Utilities Expense and a \$225 decrease (credit) to Cash.

Journal Entry

Journal		Page 4		
Date	Description	Post. Ref.	Debit	Credit
20Y3				
Dec. 31	Utilities Expense	54	225	
	Cash	11		225
	Paid electric bill.			

Accounting Equation Impact

Assets		=	Liabilities	+	Stockholders' Equity (Expense)	
Cash	11				Utilities Expense	54
Dec. 31	225				Dec. 31	225

Transaction

Dec. NetSolutions received \$2,870 from fees earned for the second half of
31 December.

Analysis

This is similar to the transaction of December 16. This transaction is recorded as a \$2,870 increase (debit) to Cash and a \$2,870 increase (credit) to Fees Earned.

Journal Entry

Dec. 31	Cash	11	2,870	
	Fees Earned	41		2,870
Received fees from customers.				

Accounting Equation Impact

Assets		=	Liabilities	+	Stockholders' Equity (Revenue)	
Cash					Fees Earned	
Dec. 31	2,870				Dec. 31	2,870

Transaction

Dec. Fees earned on account totaled \$1,120 for the second half of December.
31

Analysis

This is similar to the transaction of December 16. This transaction is recorded as a \$1,120 increase (debit) to Accounts Receivable and a \$1,120 increase (credit) to Fees Earned.

Journal Entry

Dec. 31	Accounts Receivable	12	1,120
	Fees Earned	41	1,120

Fees earned on account.

Accounting Equation Impact

Assets		=	Liabilities	+	Stockholders' Equity (Revenue)	
Accounts Receivable					Fees Earned	
Dec. 31	1,120				Dec. 31	1,120

Link to Apple

On a recent balance sheet, [Apple](#) reported \$23 billion in accounts receivable.

Transaction

Dec. 31 Paid dividends, \$2,000.

Analysis

This transaction decreases stockholders' equity and assets. This transaction is recorded as a \$2,000 increase (debit) to Dividends and a \$2,000 decrease (credit) to Cash.

Journal Entry

Dec. 31	Dividends	33	2,000
	Cash	11	2,000

Paid dividends.

Accounting Equation Impact

Assets		=	Liabilities	+	Stockholders' Equity (Dividends)	
Cash					Dividends	
	11				33	

Link to Apple

In a recent year, **Apple** paid \$14 billion in dividends.

Exhibit 6 shows the ledger for **NetSolutions** after the transactions for both November and December have been posted.

Exhibit 6

General Ledger for NetSolutions

Ledger

Account *Cash*

Account No. 11

Balance

Date	Item	Post. Ref.	Debit	Credit	Debit	Credit
20Y3						
Nov. 1		1	25,000		25,000	
5		1		20,000	5,000	
18		1	7,500		12,500	
30		1		3,650	8,850	
30		1		950	7,900	
30		2		2,000	5,900	
Dec. 1		2		2,400	3,500	
1		2		800	2,700	
1		2	360		3,060	
6		2		180	2,880	
11		2		400	2,480	
13		3		950	1,530	

Ledger**Account *Cash*****Account No. 11****Balance**

Date	Item	Post.	Debit	Credit	Debit	Credit
		Ref.				
16		3	3,100		4,630	
20		3		900	3,730	
21		3	650		4,380	
23		3		1,450	2,930	
27		3		1,200	1,730	
31		3		310	1,420	
31		4		225	1,195	
31		4	2,870		4,065	
31		4		2,000	2,065	

Account *Accounts Receivable***Account No. 12****Balance**

		Post.				
Date	Item	Ref.	Debit	Credit	Debit	Credit
20Y3						
Dec.		3	1,750		1,750	
16						
21		3		650	1,100	
31		4	1,120		2,220	

Account *Supplies***Account No. 14****Balance**

		Post.				
Date	Item	Ref.	Debit	Credit	Debit	Credit
20Y3						
Nov.		1	1,350		1,350	
10						
30		1		800	550	
Dec.		3	1,450		2,000	
23						

Account <i>Prepaid Insurance</i>				Account No. 15		
				Balance		
Date	Item	Post. Ref.	Debit	Credit	Debit	Credit
20Y3						
Dec. 1		2	2,400		2,400	

Account <i>Land</i>				Account No. 17		
				Balance		
Date	Item	Post. Ref.	Debit	Credit	Debit	Credit
20Y3						
Nov. 5		1	20,000		20,000	

Account <i>Office Equipment</i>				Account No. 18		
				Balance		
Date	Item	Post. Ref.	Debit	Credit	Debit	Credit

Account *Office Equipment***Account No. 18****Balance**

Date	Item	Post. Ref.	Debit	Credit	Debit	Credit
20Y3						
Dec. 4		2	1,800		1,800	

Account *Accounts Payable***Account No. 21****Balance**

Date	Item	Post. Ref.	Debit	Credit	Debit	Credit
20Y3						
Nov. 10		1		1,350		1,350
30		1	950			400
Dec. 4		2		1,800		2,200
11		2	400			1,800
20		3	900			900

Account *Unearned Rent***Account No. 23****Balance**

Date	Item	Post. Ref.	Debit	Credit	Debit	Credit
20Y3						
Dec. 1		2		360		360

Account *Common Stock***Account No. 31****Balance**

Date	Item	Post. Ref.	Debit	Credit	Debit	Credit
20Y3						
Nov. 1		1		25,000		25,000

Account *Dividends***Account No. 33****Balance**

Date	Item	Post. Ref.	Debit	Credit	Debit	Credit
20Y3						
Nov. 30		2	2,000		2,000	
Dec. 31		4	2,000		4,000	

Account *Fees Earned***Account No. 41****Balance**

Date	Item	Post. Ref.	Debit	Credit	Debit	Credit
20Y3						
Nov. 18		1		7,500		7,500
Dec. 16		3		3,100		10,600
16		3		1,750		12,350
31		4		2,870		15,220

Account Fees Earned**Account No. 41****Balance**

Date	Item	Post. Ref.	Debit	Credit	Debit	Credit
31		4		1,120		16,340

Account Wages Expense**Account No. 51****Balance**

Date	Item	Post. Ref.	Debit	Credit	Debit	Credit
20Y3						
Nov. 30		1	2,125		2,125	
Dec. 13		3	950		3,075	
27		3	1,200		4,275	

Account Supplies Expense**Account No. 52****Balance**

Date	Item	Post. Ref.	Debit	Credit	Debit	Credit
20Y3						
Nov. 30		1	800		800	

Account Rent Expense**Account No. 53****Balance**

		Post.				
Date	Item	Ref.	Debit	Credit	Debit	Credit
20Y3						
Nov.		1	800		800	
30						
Dec.		2	800		1,600	
1						

Account <i>Utilities Expense</i>				Account No. 54		
				Balance		
Date	Item	Post. Ref.	Debit	Credit	Debit	Credit
20Y3						
Nov.		1	450		450	
30						
Dec.		3	310		760	
31						
31		4	225		985	

Account <i>Miscellaneous Expense</i>				Account No. 59		
				Balance		
Date	Item	Post. Ref.	Debit	Credit	Debit	Credit
20Y3						
Nov.		1	275		275	
30						
Dec.		2	180		455	
6						

Pathways Challenge

This Is Accounting!

Economic Activity

Coupons (paper or digital) encourage customers to buy products or shop at stores and online websites. A recent study revealed that over 2.2 billion coupons are redeemed per year. Almost one-third of the shoppers using coupons buy more of a product and purchase it sooner. Assume that you purchase \$100 of groceries from Kroger, give the cashier a \$10 **Kroger (KR)** discount coupon, and charge your debit card for \$90.

Critical Thinking/Judgment

Should Kroger record the sale as \$100 or \$90?

Instead of a Kroger coupon, assume the coupon was issued by **General Mills (GIS)**.

Should Kroger record the sale as \$100 or \$90?

Using Data Analytics

Extracting Data

When a company uses data analytics to solve a problem, it must first *extract* (gather) relevant data. In many cases, this requires the company to collect data from a variety of sources. For example, a service company analyzing the effectiveness of its marketing efforts might extract data from its customer data base as well as publicly available data bases, such as those reporting market share and competitor revenue growth.

The nature of the problem to be solved dictates the type of data extracted, which may be quantitative or categorical in nature. *Quantitative data* can be used to perform mathematical operations, such as computing the average revenue per customer for a service company. *Categorical data* are often based on occurrences or observations of qualitative data, which is often summarized as a proportion or percentage. For example, a qualitative metric used by airlines is the number of “on-time” arrivals, which is normally reported as a percentage.

The data analytic process of extracting data is in some ways similar to the process of analyzing and recording transactions that is described and illustrated in this chapter. For example, quantitative transaction data (expressed in dollars) are collected and summarized in categorical (asset, liability, stockholders' equity, revenue, and expense) accounts.

Chapter 2: Analyzing Transactions: 2-3 Posting Journal Entries to Accounts

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